

FEDERAL MARITIME COMMISSION

Office of Administrative Law Judges

20230930-DK-BUTTERFLY-1, INC., *Complainant*

v.

BAL CONTAINER LINE CO., LIMITED, *Respondent*.

DOCKET NO. 25-01

Served: July 16, 2025

ORDER OF: Erin M. WIRTH, *Chief Administrative Law Judge*.

ORDER ON COMPLAINANT'S MOTION TO COMPEL

I. Introduction

A. Summary

On April 22, 2025, Complainant 20230930-DK-Butterfly-1, Inc., formerly known as Bed Bath & Beyond Inc. ("BBBY") filed a motion to compel production of documents with exhibits. On April 30, 2025, Respondent BAL Container Line Co., Limited ("BAL") filed an opposition to the motion to compel with declarations and a motion for enlargement of page limits.

The motion to compel properly includes the initial discovery request, initial response, and arguments. While this makes it lengthy, it complies with the Initial Order and makes the issues easier to review. The opposition is also longer than typically permitted for motions and includes a motion for enlargement of page limits. Both parties have good cause to exceed the page limitation and are accepted as filed.

More concerning is the organization of both the motion and the opposition. The motion includes requests to compel responses to the same requests in multiple sections which makes the motion longer and more confusing. For example, compare Motion at III.A with III.C. The opposition does not follow the organization of the motion and does not identify the discovery requests addressed for all sections of the table of contents, making it challenging to determine which arguments apply to which discovery requests. Each request is addressed only in one section below, although the arguments from multiple sections of the filings are considered in making the rulings.

For the reasons explained below, the motion to compel is **GRANTED IN PART AND DENIED IN PART**. Respondent should provide the discovery ordered by August 15, 2025.

B. Background

The parties are encouraged to focus their discovery and briefing on the elements of the claims and the charges eligible under the three-year reparations limitation. BBY alleges that BAL violated demurrage and detention rules at 46 U.S.C. § 41102(c) and 46 C.F.R. § 545.5 as well as refusal to deal rules at 46 U.S.C. § 41104(a)(10).

Section 41102(c) of the Shipping Act, previously section 10(d)(1), states that a “common carrier, marine terminal operator, or ocean transportation intermediary may not fail to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property.” 46 U.S.C. § 41102(c). On December 17, 2018, the Commission issued Rule 545.4, specifying the elements of a section 41102(c) claim. Final Rule: Interpretive Rule, Shipping Act of 1984, 83 Fed. Reg. 64478, 64480 (Dec. 17, 2018). Rule 545.4 states:

46 U.S.C. 41102(c) is interpreted to require the following elements in order to establish a successful claim for reparations:

- (a) The respondent is an ocean common carrier, marine terminal operator, or ocean transportation intermediary;
- (b) The claimed acts or omissions of the regulated entity are occurring on a normal, customary, and continuous basis;
- (c) The practice or regulation relates to or is connected with receiving, handling, storing, or delivering property;
- (d) The practice or regulation is unjust or unreasonable; and
- (e) The practice or regulation is the proximate cause of the claimed loss.

46 C.F.R. § 545.4.

The Commission provides specific guidance on factors to consider in determining whether demurrage and detention charges violate section 41102(c). Commission Rule 545.5 provides:

- (a) *Purpose.* The purpose of this rule is to provide guidance about how the Commission will interpret 46 U.S.C. 41102(c) and § 545.4(d) in the context of demurrage and detention.
- (b) *Applicability and scope.* This rule applies to practices and regulations relating to demurrage and detention for containerized cargo. For purposes of this rule, the terms demurrage and detention encompass any charges, including “per diem,” assessed by ocean common carriers, marine terminal operators, or ocean transportation intermediaries (“regulated entities”) related to the use of marine terminal space (e.g., land) or shipping containers, not including freight charges.

(c) *Incentive principle*—(1) *General*. In assessing the reasonableness of demurrage and detention practices and regulations, the Commission will consider the extent to which demurrage and detention are serving their intended primary purposes as financial incentives to promote freight fluidity.

(2) *Particular applications of incentive principle*—(i) *Cargo availability*. The Commission may consider in the reasonableness analysis the extent to which demurrage practices and regulations relate demurrage or free time to cargo availability for retrieval.

(ii) *Empty container return*. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.

(iii) *Notice of cargo availability*. In assessing the reasonableness of demurrage practices and regulations, the Commission may consider whether and how regulated entities provide notice to cargo interests that cargo is available for retrieval. The Commission may consider the type of notice, to whom notice is provided, the format of notice, method of distribution of notice, the timing of notice, and the effect of the notice. . . .

46 C.F.R. § 545.5.

Section 41104(a)(10) stated, prior to June 16, 2022, that: “(a) In General.—A common carrier, either alone or in conjunction with any other person, directly or indirectly, shall not— ... (10) unreasonably refuse to deal or negotiate.” 46 U.S.C. § 41104(a)(10); previously section 10(b)(10), and before OSRA 1999, section 10(b)(12). *See Canaveral Port Authority - Possible Violations of Section 10(b)(10), Unreasonable Refusal to Deal or Negotiate*, Docket No. 02-02, 29 S.R.R. 1436, 2003 WL 723336, at *5 n.6 (FMC Feb. 24, 2003). In the Ocean Shipping Reform Act of 2022 (“OSRA 2022”), Congress added an example to section 41104(a)(10), so that the section now reads: “(10) unreasonably refuse to deal or negotiate, including with respect to vessel space accommodations provided by an ocean common carrier.” Pub. L. No. 117-146, §7, 136 Stat. 1272, 1274 (June 16, 2022); 46 U.S.C. § 41104(a)(10). The Commission issued a final rule regarding the Definition of Unreasonable Refusal to Deal or Negotiate with Respect to Vessel Space Accommodations Provided by an Ocean Common Carrier, and an announcement of the effective date. 89 Fed. Reg. 59648 (July 23, 2024); 90 Fed. Reg. 30 (Jan. 2, 2025); 46 C.F.R. § 542.1.

The Shipping Act requires that the “Commission shall direct the payment of reparations to the complainant for actual injury caused by a violation” of the Act. 46 U.S.C. § 41305(b). “If the complaint is filed within 3 years after the claim accrues, the complainant may seek reparations for an injury to the complainant caused by the violation.” 46 U.S.C. § 41301(a); 46 C.F.R. § 502.62(a)(4)(iii); *Color Brands, LLC v. AAF Logistics, Inc.*, Docket No. 22-18, 2024 WL 5714570, at *5 (ALJ Aug. 27, 2024), admin final Sept. 27, 2024. Complainant bears the burden of proving that it is entitled to reparations for actual injury. *MAVL Capital Inc. v. Marine Transport Logistics, Inc.*, Docket No. 16-16, 2022 WL 2209421, at *3 (FMC June 10, 2022).

It is noted that the complaint was filed on December 31, 2024. Therefore, reparations may be available for charges after December 31, 2021. A tolling agreement is mentioned but it is not clear what impact that might have on the time for reparations. Cullinane Declaration, Ex. 1. A number of discovery requests ask for information from January 1, 2020, through December 31, 2022. Reparations may only be available for a portion of this timeframe. The complaint also seeks a cease and desist order, which is not impacted by the three-year reparations limitation.

II. Discussion

The Commission's Rules permit discovery "regarding any nonprivileged matter that is relevant to any party's claim or defense." 46 C.F.R. § 502.141(e)(1).

On motion or on its own, the presiding officer may limit the frequency or extent of discovery otherwise allowed by these rules if the presiding officer determines that:

(A) The discovery sought is unreasonably cumulative or duplicative, or can be obtained from some other source that is more convenient, less burdensome, or less expensive;

(B) The party seeking discovery has had ample opportunity to obtain the information by discovery in the action; or

(C) The burden or expense of the proposed discovery outweighs its likely benefit, considering the needs of the proceeding, the amount in controversy, the parties' resources, the importance of the issues at stake in the action, and the importance of the discovery in resolving the issues.

46 C.F.R. § 502.141(e)(2)(ii). The Commission's Rules also permit the presiding officer to "issue an order to protect a party or person from annoyance, embarrassment, oppression, or undue burden or expense." 46 C.F.R. § 502.141(j). Further, the Commission's Rules governing the production of documents or electronically stored information provides that parties "must produce the documents as they are kept in the usual course of business or must organize and label them to correspond to the categories in the request" and "need not produce the same electronically stored information in more than one form." 46 C.F.R. § 502.146(b)(2)(v)(A, C).

A. RFP Nos. 1, 2, 4, 5; Interrogatory Nos. 5, 6, 15

Complainant's RFP No. 1: Documents sufficient to identify all persons, including any Intermediaries, who communicated on BBY's behalf with You or any other person acting on Your behalf, including any Intermediaries, concerning BBY Cargo.

Complainant's RFP No. 2: Documents sufficient to identify all persons, including any Intermediaries, who communicated on Your behalf with BBY or any other person acting on BBY's behalf, including any Intermediaries, concerning BBY Cargo.

Complainant's RFP No. 4: All communications with BBY.

Complainant's RFP No. 5: All documents and communications concerning BBY or BBY Cargo, including:

- a. Any contracts or agreements with BBY;
- b. any communications with any Intermediary or Intermediaries concerning BBY or BBY Cargo;
- c. any issues or conditions affecting the flow of any BBY Cargo to, from, or within any origin, port of loading, destination, or port of discharge, including any congestion, crowding, stacking or inaccessibility of containers, delays, lack of appointments, dual appointment requirements, timing of appointments, or delays, shortages, or availability issues concerning employees, operators, equipment, space, rail service, trucking, chassis, of chassis pools, and any role that Your regulations, practices, policies, procedures, protocols, strategies, or actions may have played in creating or exacerbating such issues;
- d. the ability of BBY or BBY's agents, vendors, or service providers to pick up or return containers of BBY Cargo at any destination or port of discharge, and any effect that Your regulations, practices, policies, procedures, protocols, strategies, or actions may have had on such ability; and
- e. the calculation, assessment, charging, invoicing, negotiation, demand for payment, collection, waiver, or refund of detention or demurrage charges by You or on Your behalf with respect to BBY Cargo.

Complainant's Interrogatory No. 5: Identify each person who communicated or acted on Your behalf, including any Intermediaries, concerning BBY or BBY Cargo.

Complainant's Interrogatory No. 6: Identify each person who communicated or acted on BBY's behalf, including any Intermediaries, with You or any person who acted on Your behalf, including any Intermediaries, concerning BBY or BBY Cargo.

Complainant's Interrogatory No. 15: For the period January 1, 2021 through December 31, 2022, for any origin, port of loading, destination, or port of discharge through which BBY Cargo traveled, describe in detail any issues affecting the flow of containers, including without limitation congestion, crowding, stacking or inaccessibility of containers, delays, lack of appointments, dual appointment requirements, timing of appointments, or delays, shortages or availability issues concerning employees, operators, equipment, space, rail service, trucking, chassis, or chassis pools.

BAL objected to this discovery on multiple grounds, including asserting that it is overly broad, unreasonably burdensome, and is vague; states that at this time, BAL does not believe that any relevant and responsive discovery exists; and that it will manually search emails of specific employees. Motion at 6-9. For other requests, BAL objected "on the ground that the requested information does not comport with the facts of this case" as "Respondent does not generally work with intermediaries on the basis of their underlying shipper relationship/interest. As such,

Respondent often has no way of easily knowing whether the person/persons it is interacting with are representing ‘BBBY or BBBY Cargo.’” *Id.*

The motion asserts “that responsive documents may not exist is not a valid justification for not conducting a proper search;” and “that Respondent may require a vendor in order to engage in e-discovery is not an excuse not to fulfill Respondent’s discovery obligations,” arguing that limiting the search to emails is inappropriate when information may be in files, databases, folders, or electronic repositories. Motion at 6-10. In a separate section, BBBY seeks “the full range of individuals who may have relevant knowledge regarding Respondent’s detention and demurrage practices.” Motion at 23-24.

The opposition alleges that email communication was “the nearly-exclusive means of communication;” that BAL is a small company and the only way they know how to search is to have specific employees run searches in their email boxes; that “Bal did not communicate (to its present knowledge) directly with anyone at BBBY, except for the communications in 2023 and 2024 wherein BBBY and its lawyers demanded refunds from Bal;” and that bills of lading would not reference BBBY. Opposition at 13-16. Regarding interrogatory 15, BAL contends it seeks an enormous amount of information, includes multiple vague terms, and “BBBY has yet to inform Bal which ports are at issue (the port of unloading).” Opposition at 16-18. BAL also discloses names of additional people who may have knowledge of its detention and demurrage practices but states that “[o]ther senior Bal executives may have knowledge regarding the matters at issue in this case, but those employees disclosed by Bal have more fulsome knowledge.” Opposition at 21-22.

BAL contends that it primarily worked with intermediaries so that it might not have known that it was communicating about BBBY cargo. However, BAL charged BBBY detention and demurrage charges and discovery regarding these shipments is reasonably calculated to lead to the discovery of admissible evidence. In another section of the Opposition, BAL acknowledges that BBBY provided an Excel sheet of data “in which it identified dates and container numbers for its cargo.” BAL should be able to use this data to identify relevant communications regarding the cargo at issue. Moreover, BAL must search for all documents, not just email communications. The search of emails of a handful of selected employees for five search terms is not sufficient. Additionally, BAL is required to identify all people with knowledge and should not be disclosing only certain people based on its own evaluation of their knowledge.

Complainant’s RFP Nos. 1, 2, 4, 5(a), 5(b), 5(e) and Interrogatory 5 and 6 all request information regarding communications with BBBY and are reasonably calculated to lead to the discovery of admissible evidence. Therefore, the request for a motion to compel responses is **GRANTED**.

Complainant’s RFP Nos. 5(c), 5(d) and Interrogatory 15 request information about the actions of others, including BBBY agents, vendors, or service providers and the flow of cargo at various ports. These requests are over broad in that they request information regarding ports where no detention or demurrage charges were incurred. It is not clear why the origin and port of loading would be relevant. Therefore, the requests are limited to the destination ports and ports of discharge for BBBY’s cargo. Responses are required to the extent that BAL has such

information, but it is noted that such information may not be in BAL's possession. The motion to compel responses to this discovery is **GRANTED AS AMENDED**.

B. RFP No. 6; Interrogatory No. 7

The motion seeks to compel discovery that it also addresses in other sections. The discussion of RFPs 1, 2 and Interrogatories 5, 6 are above and are not repeated here. The discussions of Interrogatories 8 and 17 are addressed below and not discussed here.

Complainant's RFP No. 6: Documents sufficient to identify all persons with decision-making authority concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges from January 1, 2021 through December 31, 2022.

Complainant's Interrogatory No. 7: Identify each person with decision-making authority concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, with respect to detention or demurrage charges from January I, 2021 through December 31, 2022.

BAL objected specifically to the term "decision-maker," arguing that it is vague and ambiguous and that the "names of the decision-makers at Respondent with regard to detention and demurrage 'regulations, practices, policies, procedures, protocols, or strategies, or conditions' are not relevant." Motion at 21-23.

As discussed above, BBY seeks "the full range of individuals who may have relevant knowledge regarding Respondent's detention and demurrage practices." Motion at 23-24. BAL also discloses names of additional people who may have knowledge of its detention and demurrage practices but states that "[o]ther senior Bal executives may have knowledge regarding the matters at issue in this case, but those employees disclosed by Bal have more fulsome knowledge." Opposition at 21-22.

The issue under a section 41102(c) is whether a regulated entity has "fail[ed] to establish, observe, and enforce just and reasonable regulations and practices." 46 U.S.C. § 41102(c). Discovery regarding these regulations and practices is directly relevant. And requests regarding the decision-maker for the regulations and practices is reasonably calculated to lead to the discovery of admissible evidence. Additionally, these requests are appropriately limited in time and scope. As above, BAL is required to identify all people with knowledge and should not be disclosing only certain people based on its own evaluation of their knowledge. Accordingly, the motion to compel responses to RFP No. 6 and Interrogatory No. 7 is **GRANTED**.

C. RFP Nos. 7, 8

Complainant's RFP No. 7: All documents and communications concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, concerning detention or demurrage charges, including the calculation, assessment, charging, invoicing, negotiation, demand for payment, collection, waiver, or refund of detention or demurrage charges by You or on Your behalf, any changes to such regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by

You or on Your behalf, and any factors considered and justifications for such charges or the amounts thereof from January 1, 2021 through December 31, 2022.

Complainant's RFP No. 8: All documents and communications concerning Your regulations, practices, policies, procedures, protocols, or strategies, or conditions established or enforced by You or on Your behalf, concerning the ability of any Shipper or Shipper's agent, vendor, or service provider to pick up that Shipper's cargo from any destination or port of discharge or to return the containers in which that Shipper's cargo had been carried to any destination or port of discharge from January 1, 2021 through December 31, 2022.

BAL objected that the requests were overly broad, unduly burdensome, and not relevant. Motion at 10-11. BBY asserts that "Respondent's practices regarding detention and demurrage are squarely relevant to Complainant's claims regarding the unjust and unreasonable nature of the detention and demurrage charges imposed by Respondent." Motion at 17 (citing *Bed Bath & Beyond Inc.*, 2023 WL 6391710, at *18 (FMC ALJ Sept. 28, 2023)).

BAL contends that it "is working to locate any documents that it can find which reflect internal communications regarding, or internal documents regarding, Bal's detention and demurrage fee policies in the years 2021 and 2022. Beyond this narrowly tailored search, these two requests are unreasonable and so BBY's request to have Bal undergo an extremely burdensome search for irrelevant documents should be rejected." Opposition at 18-19.

The issue under a section 41102(c) is whether a regulated entity has "fail[ed] to establish, observe, and enforce just and reasonable regulations and practices." 46 U.S.C. § 41102(c). Discovery regarding these regulations and practices is directly relevant. However, in RFP 7, the phrase "any factors considered and justifications for such charges or the amounts thereof" is unclear and overbroad. This phrase is stricken from the request. Similarly, the request in RFP 8 for "any destination or port of discharge" is overbroad. The request is therefore limited to the destination ports for the containers at issue. As limited, these requests seek information related to detention or demurrage practices over a limited period of time to relevant ports, therefore, they may lead to the discovery of admissible evidence. Accordingly, the motion to compel responses to RFPs 7 and 8 is **GRANTED AS AMENDED**.

D. RFP No. 9

Complainant's RFP No. 9: Documents sufficient to show, by Shipper (or NVOCC), the average dwell time for cargo containers carried by You, pursuant to a bill of lading issued by You, or otherwise on Your behalf, at each origin, port of loading, destination, and port of discharge through or at which You transported BBY Cargo.

BAL objected that it does not regularly maintain dwell time data; this information is held by terminals and Complainant has not identified which terminals BAL carried its cargo to; and that this request is not "narrowly tailored to the issue at hand in this case, namely, the dwell time of the containers at issue in this case." Motion at 24.

In its motion, BBY asserts that information regarding dwell times is relevant to its claims concerning the reasonableness of the detention and demurrage charges for locations through which BBY cargo passed; that it provided a list of container numbers; and that even if

it does not regularly maintain such information that does not mean it will not have any responsive documents. Motion at 24-25.

BAL makes eight numbered arguments in opposition to this request: (1) BBY provided a spreadsheet of dwell time for the relevant containers so it already has this information; (2) BAL should not be expected to calculate the average dwell time; (3) the port of origin and port of loading is not relevant and no refund is being sought for those ports; (4) the request is overbroad as it is not limited to BBY cargo; (5) BAL “may receive from the terminal the dwell time data, to confirm the accuracy of the monies collected by the terminal, but this information is not limited to containers with BBY cargo and Bal does not have a practice of collecting, organizing, or storing that data;” (6) BBY has not identified which terminals BAL carried its cargo to; (7) the request is not limited in time; and (8) dwell time is not relevant to whether the demurrage fees at issue were reasonable under the Shipping Act. Opposition at 22-24.

It is not clear how average dwell time would be relevant to determining whether the specific detention and demurrage charges at issue here violated the Shipping Act. BBY asserts that it is relevant to the reasonableness element and specifically whether industry-wide issues affected the ability of Complainant and other shippers from picking up and returning containers. Opposition at 24-25. However, this very generalized data will not provide information regarding the specific containers at issue here. Accordingly, the motion to compel a response to Complainant’s RFP No. 9 is **DENIED**.

E. RFP Nos. 10, 13; Interrogatory Nos. 16, 18, 19

Complainant’s RFP No. 10: All communications between You and any VOCC (including any VOCC with which You have shared common ownership) or NVOCC or any port or marine terminal operator concerning any condition affecting the flow of cargo containers, including congestion, shortages, delays, or other factors affecting any port or marine terminal through or at which You transported BBY Cargo and all documents and communications concerning any such communications from January 1, 2021 through December 31, 2022.

Complainant’s RFP No. 13: Documents sufficient to show the effects of port congestion, bad weather delays, labor disputes, shortages of truckers, insufficient rail capacity, empty box shortages in key locations, COVID-19 rules affecting the availability of labor in terminals, depots, yards, quarantining requirements for vessel crews, yard density, shortages of trucks, shortages of chassis, shortages of warehouse space, and any other port-specific or broader supply chain issues, difficulties, or challenges identified by You on Your financial performance from January 1, 2020 through December 31, 2022.

Complainant’s Interrogatory No. 16: Describe in detail the actions You took, if any, to ameliorate, or assist Shippers in connection with the flow of containers at any origin, port of loading, destination, or port of discharge subject to the conditions identified in Your response to Interrogatory No. 15.

Complainant’s Interrogatory No. 18: For the period January 1, 2021 through December 31, 2022, describe in detail Your policies, practices and procedures in effect at any origin, port of loading, destination, or port of discharge subject to the conditions identified in Your response to

Interrogatory No. 15, to the extent such policies practices or procedures affected the flow of containerized freight, including the pickup or return of containers, detention, demurrage, other accessorial charges, chassis, appointments, delays, shortages, or other conditions at such locations.

Complainant's Interrogatory No. 19: For the period January 1, 2021 through December 31, 2022, describe in detail any communications or agreements between You and any VOCC concerning conditions affecting the flow of containers at any United States ports, detention charges, demurrage charges, or any other accessorial charges imposed on Shippers or Shippers' vendors or agents.

BAL objected that these requests were overly broad, unduly burdensome, compound, and not narrowly tailored to the facts of the case. Motion at 11-13. BBY argues that these requests regarding the flow of cargo are "relevant to the issues in this proceeding related to unprecedented industry congestion and issues related to the (in)ability of shippers to pick up or return containers and factors tied to such (in)ability." Motion at 18.

BAL asserts that these requests "seek an enormous number of documents, all of which are not relevant to the question at issue in this case, which is whether the specific containers at issue were charged detention and demurrage fees" and that the requests are better directed at other entities. Opposition at 28-29.

None of these requests are limited to the cargo at issue and it is not clear how delays for other cargo would be relevant to the issues in this proceeding. Therefore, the request to compel responses to RFP Nos. 10, 13 and Interrogatory Nos. 16, 18, 19 is **DENIED**.

F. RFPs 11, 14, 15, and 19, Interrogatories 8 and 11

Complainant's RFP No. 11: Documents sufficient to show Your financial performance from January 1, 2020 through the present, including Your quarterly and annual sales, gross revenues, net revenues, gross margin, gross profits or losses, operating profits or losses, and net profits or losses, and the reasons for any increases or decreases in Your revenues and profits.

Complainant's RFP No. 14: Documents sufficient to show the total or aggregate amounts, on a monthly basis during the period January 1, 2020 through December 31, 2022, of detention and/or demurrage charges (1) requested, proposed, demanded, negotiated, assessed, imposed, charged, invoiced, or collected, or (2) waived, or refunded by You or on Your behalf with respect to all Shippers other than Complainant.

Complainant's RFP No. 15: Documents sufficient to show any refunds or waivers by You or on Your behalf to any Shipper (including any NVOCC) concerning detention or demurrage charges during the period January 1, 2020 through December 31, 2022 and the reasons for each such refund or waiver.

Complainant's RFP No. 19: Documents sufficient to show Your current assets, including any insurance policies available to cover reparations, fees, or costs awarded in this action.

Complainant's Interrogatory No. 8: Identify each person with knowledge of Your financial performance from January 1, 2019 through the present, including the effects of the global COVID-19 pandemic and/or any force majeure event(s) on Your financial performance.

Complainant's Interrogatory No. 11: Identify, on a monthly basis, the total revenues You earned from detention charges and demurrage charges from any Shipper (including any NVOCC) from January 1, 2020 through December 31, 2022.

BAL objected that these requests are vague and ambiguous; BAL has a right to financial privacy; some documents may be privileged; and RFPs 15 and 19 are overly broad, unduly burdensome, and compound. Motion at 28-31. In its motion, BBY states that it seeks “information directly relating to Respondent’s financial performance/revenues as a result of Respondent’s practices that Complainant has challenged in the present proceeding” and asserts that the information sought is tailored to seek:

(1) “the reasons for any increase or decrease in our revenues and profits” as it relates to whether detention and demurrage drove profitability (RFP No. 11), (2) the total/aggregate amounts of detention and demurrage charged without respect to individual customers (RFP No. 14), (3) amounts of refunds or waivers for detention and demurrage charges (RFP No. 15), persons with knowledge regarding financial performance, including the effects of Covid-19 and/or force majeure on financial performance (Interrogatory No.8), and aggregated monthly revenues from detention and demurrage for the relevant time period (Interrogatory No. 11).

Motion at 31; Motion at 28-33. BBY cites Commission cases where specific types of financial documents were found relevant to the facts in that proceeding. Motion at 32-33.

BAL asserts that their financial condition is not at issue and the requested information is not relevant, arguing:

First, Bal has not placed its income or earning capacity at issue anywhere in these proceedings. Second, and despite BBY’s contentions otherwise, Bal’s financial information is not relevant to any claim or defense under the Shipping Act. BBY seems to argue that because it purportedly paid Bal demurrage and detention fees, and those fees were conceivably included in Bal’s overall revenue, BBY can access massive swaths of Bal’s confidential financial information. Bal’s financial information, including total revenue and detention and demurrage revenue across all shippers, has no bearing on whether the fees BBY paid were reasonable. BBY even concedes that this financial information would only be the “result of [Bal’s] practices that [BBY] has challenged in this proceeding”—not the practices themselves. This distinction matters because the parties are only litigating whether the fees incurred by BBY were reasonable, not their results or impact.

Opposition at 12 (citations omitted, corrections in original); Opposition at 11-23.

BBBY generally relies on *Green Master* and states: “To the extent that Respondent objects to RFP No. 19, which requests documents regarding current assets and insurance, Complainant notes that the Administrative Law Judge in *Green Master International Freight Services Ltd.*, FMC Dkt. No. 01-10, 2001 WL 1420471, at *1 (FMC ALJ Oct. 12, 2001), deemed such discovery proper.” Motion at 31 n. 12.

In *Green Master*, the discovery sought included interrogatories regarding “respondent’s activities and operations in the Far East - United States trade, corporate structure and financial condition” and request for production of documents including “copies of bills of lading, service contract information and corporate financial documents.” 2001 WL 1420471, at *1. The ALJ found that the requested discovery was “relevant to the issues of whether the respondent has violated the Shipping Act of 1984 as alleged as well as to its ability to pay a civil penalty if such violations are shown to have existed.” *Id.*

The three-paragraph *Green Master* order does not mention current assets or insurance as claimed by BBBY. If BBBY wishes to argue that corporate financial documents should include current assets or insurance, they may make that argument. But it is disingenuous to state that such information was addressed by a decision where it clearly was not. Moreover, in that proceeding, the ability to pay a civil penalty was an issue and that is not an issue here. Therefore, *Green Master* does not support BBBY’s position.

Moreover, there are at least two recent cases that more directly address this situation—and they find that “generalized data regarding [the respondent’s] income, revenue and the like” and “revenue from demurrage, detention or storage charges” were not relevant. *Visual Comfort & Co. v. COSCO Shipping Lines Co. Ltd.*, Docket No. 24-01, 2024 WL 3514622, at *9, (ALJ July 17, 2024); *Marine Transport Logistics, Ltd. v. CMA CGM, S.A.*, Docket No. 22-23, 2024 WL 474879, at *8 (ALJ Jan. 31, 2024).

Complainant’s RFP Nos. 11, 14, 15, 19, and Interrogatories 8 and 11 request information regarding financial performance, total or aggregate detention and demurrage charges, refunds or waivers to any shipper, current assets and insurance, and total revenues. BBBY does not establish how this generalized data is relevant to resolving any specific claims at issue. Therefore, the motion to compel this information is **DENIED**.

G. RFP Nos. 17, 18, 21, 22; Interrogatory Nos. 17

Complainant’s RFP No. 17: All documents and communications from January 1, 2021 through December 31, 2022 discussing or concerning potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or alleging violations by You of the Shipping Act.

Complainant’s RFP No. 18: All documents and communications from January 1, 2020 through December 31, 2022 discussing or concerning any regulation, practice, policy, procedure, protocol, or strategy adopted by You in response to any potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or alleging violations by You of the Shipping Act.

Complainant's RFP No. 21: Documents sufficient to show Your retention or destruction of documents and communications responsive to any of these Discovery Requests or otherwise concerning or relevant to this action, including any notices to preserve such evidence.

Complainant's RFP No. 22: All documents and communications, regardless of date, concerning any instances in which You have been accused or alleged, in any manner, of violating the Shipping Act or have been determined, found, or adjudged to have violated the Shipping Act.

Complainant's Interrogatory No. 17: Identify each person with knowledge of any regulation, practice, policy, procedure, protocol, or strategy adopted or considered by You from January 1, 2021 through December 31, 2022 in response to any potential, threatened, or filed complaints by any Shipper against You with the Federal Maritime Commission or any allegation from a shipper alleging a violation by You of the Shipping Act.

RFP 21 is addressed separately below. BAL generally objected to RFP No. 17, 18, 22, and Interrogatory 17 by claiming that the requests are overly broad, unduly burdensome, and compound; vague and ambiguous; not narrowly tailored to the issues at hand; harassing and prejudicial; and seek privileged communications. BBY asserts that these requests are relevant to BAL's defense that their practices were neither unjust nor unreasonable and BAL's assertion that it did not commit any Shipping Act violations. Motion at 27-28.

BAL contends that these requests are not relevant and a fishing expedition; regulatory communications are privileged; and the attorney-client privilege applies to some of the communications. Opposition at 24-28.

BBY states that it does not seek privileged communications. To the extent that BAL withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 4) Names of all persons who received the document or were present at time of communication; 5) Description of document or communication; 6) All privileges claimed; and 7) Basis for each privilege claimed.

RFPs 17, 18, 22, and Interrogatory 17 are overbroad. Prior violations would not make current conduct unreasonable and would not impact reparations for actual damages. These requests focus on BAL's actions taken in response to an alleged violation and are not compelled as they have not been shown to be related to an element at issue in the proceeding. Therefore, the motion to compel responses to RFPs 17, 18, 22, and Interrogatory 17 is **DENIED**

Regarding RFP 21, BBY states that it "requests only non-privileged documents regarding BAL's compliance with its discovery obligations, in tandem with the document retention policy that Respondent has already agreed to produce in response to RFP 20, to the extent it exists." Motion at 27-28. BAL states that it has already agreed to produce any documents it can locate after a reasonable search that could be construed to be document retention policies, and it has stated in its responses that it has not destroyed any documents in response to these requests. A sufficient response having been provided, the motion to compel RFP 21 is **DENIED**.

H. RFP Nos. 23, 24, 25; Interrogatory Nos. 2, 4

Complainant's RFP No. 23: All documents and communications concerning this action or any claims or defenses in this action.

Complainant's RFP No. 24: All documents and communications upon which You relied for Your Answer to Complaint with Affirmative Defenses in this action.

Complainant's RFP No. 25: All documents and communications that You intend to rely upon in this action or introduce at hearings or at trial in this action.

Complainant's Interrogatory No. 2: Identify each document to which You referred in order to respond to each of these (and any subsequently served) Interrogatories.

Complainant's Interrogatory No. 4: For each response in Your Answer to BBY's Verified Complaint in this action that was anything other than an unqualified admission, state all facts on which You based such response and identify all documents or communications that support such response.

BAL objected to these requests as overly broad, unduly burdensome, and compound and that requests for all documents and communications is "wildly inappropriate." Motion at 15. It objects to Interrogatory No. 4 as overbroad, citing *Lawrence v. First Kansas Bank & Tr. Co.*, 169 F.R.D. 657, 663 (D. Kan. 1996). In its motion, BBY asserts that the documents are relevant; that BAL could have kept a list of documents relied upon while answering the interrogatories; and that other cases decline to follow the *Lawrence* standard. Motion at 19-21.

BAL contends that BBY's "all facts" and "all documents" request are inappropriate and that while there is a split of authority on the *Lawrence* factors that a similar approach has been adopted at the Commission, citing *Maher Terminals LLC v. Port Auth. of N.Y. & N.J.*, FMC Docket No. 08-03, Mem. & Order on Discovery Mots. at 8 (ALJ July 23, 2010) and *Odyssea Stevedoring of Puerto Rico, Inc. v. Puerto Rico Ports Auth.*, FMC Docket No. 02-08, 29 S.R.R. 1392, 1394 (ALJ Dec. 12, 2002) (citations omitted). Opposition at 19-21.

For the reasons outlined in the Commission cases cited by BAL, Interrogatory No. 4 is overly broad and the motion to compel is **DENIED**. RFPs 23, 24, 25, and Interrogatory 2 are limited to this action and are reasonably calculated to lead to the discovery of admissible evidence; accordingly, the motion to compel is **GRANTED**.

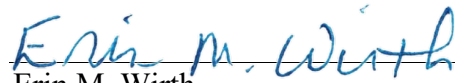
III. Order

Upon consideration of the record herein, the arguments of the parties, and the conclusions and findings set forth above, it is hereby

ORDERED that Complainant's motion to compel be **GRANTED IN PART AND DENIED IN PART**. Specifically, BBY's motion to compel:

- RFP Nos. 1, 2, 4, 5(a), 5(b), 5(e), and Interrogatories 5 and 6 is **GRANTED**,
- RFP Nos. 5(c), 5(d) and Interrogatory 15 is **GRANTED AS AMENDED** (limited to the destination ports and ports of discharge for BBY's cargo),
- RFP No. 6 and Interrogatory No. 7 is **GRANTED**,
- RFP 7 is **GRANTED AS AMENDED** ("any factors considered and justifications for such charges or the amounts thereof" is stricken from the request),
- RFP 8 is **GRANTED AS AMENDED** ("any destination or port of discharge" limited to the destination for the containers at issue),
- RFP No. 9 is **DENIED**,
- RFP Nos. 10, 13 and Interrogatory Nos. 16, 18, 19 is **DENIED**,
- RFP Nos. 11, 14, 15, 19, and Interrogatories 8 and 11 is **DENIED**,
- RFP 17, 18, 22 and Interrogatory 17 is **DENIED**,
- RFP 21 is **DENIED**,
- RFPs 23, 24, 25, and Interrogatory 2 is **GRANTED**, and
- Interrogatory No. 4 is **DENIED**.

To the extent that either party withholds information under a claim of privilege, a privilege log containing the following information must accompany the response: 1) Document Identification Number consisting of Bates number or other unique identifier, if applicable; 2) Date document created or date of communication; 3) Names of authors of document or parties to communication; 4) Names of all persons who received the document or were present at time of communication; 5) Description of document or communication; 6) All privileges claimed; and 7) Basis for each privilege claimed.


 Erin M. Wirth
 Chief Administrative Law Judge